

PRINCIPLES OF TAXATION LAW

Case Law Digest

Topic wise, Units I to V, with leading cases highlighted

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Companion to the consolidated notes. Forty one cases.

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How to use this digest

This digest contains every case discussed in the main notes for Units I to V, arranged by topic in the same order as the notes. Each entry gives the case name, the citation, the facts in a line or two, what was decided, and the principle it is cited for.

Case names are printed in bold italic. Where the case name is highlighted, as here, it is a leading authority: the doctrine of that topic rests on it and an answer on the topic is weak without it. Eighteen of the forty one cases are marked in that way. The rest are supporting authorities, useful for showing the rule at work or for marking its limits.

On the two mushroom cases. *DCIT v. Inventaa Industries* and *PCIT-1 v. British Agro Products* contradict each other and the Supreme Court is now seised of the question. Both are given, and both should be cited together.

A. Tax, fee and cess; types of taxes; avoidance

Delhi Race Club Ltd v. Union of India, (2012) 8 SCC 680 (Supreme Court, 13 July 2012)

Facts. Rules for horse racing in Delhi were amended to raise the licence fee from two thousand to twenty thousand rupees per race day, and the wagering licence fee from five hundred to five thousand rupees. The club challenged the increase as excessive delegation and as a tax in disguise, no service being rendered in return.

Held. The increase was valid. The essential legislative function had been retained by the legislature, and the levy was a regulatory licence fee and not a tax.

Principle. A licence fee may be compensatory or regulatory. A compensatory fee is charged for specific services and needs an element of quid pro quo broadly matching the cost. **A regulatory fee is charged because the activity needs to be controlled, requires no quid pro quo at all, and remains a fee and not a tax, provided it is not excessive.**

Knowlton v. Moore, 178 U.S. 41 (1900), United States Supreme Court

Facts. The federal legacy tax under the War Revenue Act of 1898 was challenged as a direct tax, which under the American Constitution would have required apportionment among the States by population.

Held. The tax was upheld.

Principle. A death or legacy duty is not a tax on property but a tax on the transmission of property, that is on the privilege of succeeding to it, and so belongs with duties and excises. This is why transfer taxes are classed as indirect.

McDowell and Co. Ltd v. Commercial Tax Officer, (1985) 3 SCC 230 (Supreme Court)

Facts. A sales tax dispute in which the court considered the legitimacy of arrangements designed to reduce tax.

Held. Decided against the assessee on the narrower question actually before the Court.

Principle. Cited for the proposition that a colourable device adopted to avoid tax deserves no protection from the courts. **Caution:** the well known strong observations against avoidance are those of Chinnappa Reddy J. in a separate judgment and are not the ratio of the majority.

B. Concept of income

CIT, Madras v. G.R. Karthikeyan, (1993) 201 ITR 866 (Supreme Court)

Facts. The assessee took part in the All India Highway Motor Rally, a contest of driving reliability and endurance in which competitors had to observe prescribed rules rather than finish fastest, and won prizes of twenty two thousand rupees. Assessment year 1974-75.

Held. The receipt was income and chargeable. The Supreme Court reversed the High Court.

Principle. The definition of income is inclusive and enlarges the ordinary meaning of the word rather than cutting it down. **The clause is not limited to receipts depending on chance:** if winnings from betting and gambling are income, an amount won by skill and endurance cannot be excluded. A casual and non recurring receipt is still income.

CIT v. K. Thangamani, (2009) 309 ITR 15 (Madras High Court)

Facts. The assessee obtained money by fraudulently procuring income tax refunds and argued that money earned by crime was not taxable.

Held. The amounts were taxable.

Principle. The Act charges income whatever its source, lawful or unlawful. An assessee cannot plead his own wrongdoing to escape tax, expressed in the maxim *allegans suam turpitudinem non est audiendus*.

CIT, Bombay City I v. Shoorji Vallabhdas and Co., (1962) 46 ITR 144 (Supreme Court)

Facts. A managing agency credited commission in its books at the rate originally agreed. The rate was later reduced by agreement, so the higher amount was never received and never became payable.

Held. Only the reduced amount was taxable.

Principle. Tax is a levy on real income. If income does not result at all there can be no tax, even though a book entry records a hypothetical income which does not materialise. Hidayatullah J.'s passage is worth reproducing verbatim.

C. Application and diversion of income

CIT, Bombay City II v. Sitaldas Tirathdas, (1961) 41 ITR 367 (Supreme Court)

Facts. The assessee's wife and children obtained a maintenance decree and he paid maintenance under it. The decree created no charge on his property or income. He claimed the payments as diverted income.

Held. Not deductible. The payments were an application of income which had already accrued to him.

Principle. The true test is whether the amount sought to be deducted, in truth, never reached the assessee as his income. Where an overriding obligation diverts income before it reaches him it is deductible; where income must be applied to discharge an obligation after it reaches him it is not. Reproduce Hidayatullah J.'s words exactly.

CIT v. Sunil J. Kinariwala, (2003) 259 ITR 10 (Supreme Court)

Facts. A partner assigned part of his share in the firm's profits to a trust and claimed the assigned share was diverted.

Held. It was an application of income and remained taxable in the partner's hands.

Principle. The trust did not become a partner and acquired no title to the firm's profits; it obtained only a right to receive a share of profit from the partner. The profit therefore accrued first to the partner, so paying it over was application.

D. Doctrine of mutuality

Styles (Surveyor of Taxes) v. New York Life Insurance Co., (1889) 14 App Cas 381 (House of Lords)

Facts. Members associated to insure each other's lives on the mutual principle. They alone owned the common fund and alone shared the surplus.

Held. The surplus arising from the members' own excess contributions was not an assessable profit.

Principle. There was no trading with outsiders that could produce a profit. What returned to the members was the excess of their own contributions over claims and expenses, so in the taxable sense there was no profit at all.

Bangalore Club v. CIT, (2013) 5 SCC 509 (Supreme Court)

Facts. A members' club placed surplus funds in fixed deposits with banks, some of which were corporate members, and claimed mutuality on the interest.

Held. Mutuality did not apply. The interest was taxable.

Principle. The condition against profiteering failed once the money entered the bank's commercial stream and was used in its lending business. The funds were then exposed to commercial exploitation. That some banks were corporate members did not restore identity, because the bank dealt with the money as a bank and not as a member.

E. Person and assessee, residence, control and management

M.M. Ipoh v. CIT, Madras, AIR 1968 SC 317 (Supreme Court, 26 July 1967)

Facts. Whether a group of persons, whose affairs were managed by one of them on behalf of another, could be assessed as an association of persons for assessment years 1952-53 to 1956-57, and whether the assessment was validly begun by notice on that manager as principal officer.

Held. They were assessable as an association of persons and the proceedings were validly commenced.

Principle. An association of persons means persons who join in a common purpose or common action with the object of producing income. Volition, unity of purpose and a profit making objective are all required. Persons who merely receive income jointly, without combining in any enterprise to produce it, are not an association.

V.V.R.N.M. Subbayya Chettiar v. CIT, Madras, (1951) 19 ITR 168 (Supreme Court)

Facts. A Hindu undivided family was domiciled in Ceylon and its Karta lived permanently in Colombo. He came to British India and stayed about 101 days, doing certain acts concerning the family's affairs. The family claimed control and management was wholly outside the taxable territories.

Held. The family was resident. The burden of proving the exception was not discharged.

Principle. **A Hindu undivided family is presumed resident, and the onus of proving that control and management was wholly outside India lies on the assessee.** Control and management means the controlling and directing power, the head and brain; situated implies some permanence; and wholly recognises that there may be more than one centre of control.

Narottam and Parekh Ltd v. CIT, Bombay City, AIR 1954 Bom 67; (1954) 25 ITR 40

Facts. The residence of a company under the provision requiring control and management to be situated wholly in the taxable territories.

Held. Decided on the meaning of control and management.

Principle. Control and management is a compendious expression meaning central control, not the day to day doing of business. **It is irrelevant where the business is done and the income earned; what matters is from where the business is controlled and managed.** The test is where the seat of power, the head and brain, functions. This reasoning underlies the place of effective management test.

F. Income deemed to accrue or arise in India

Vodafone International Holdings B.V. v. Union of India, (2012) 6 SCC 613 (Supreme Court)

Facts. Vodafone bought from Hutchison the share capital of CGP Investments Holdings Ltd, a Cayman Islands company, and thereby acquired indirect control of an Indian telecom company. Both parties were non-residents and the share transferred was situated outside India.

Held. The gain was not taxable in India and no tax had to be withheld.

Principle. **The deeming provision contains no look through language and cannot be read as one.** The transaction had to be looked at as a whole rather than dissected; the situs of the share was outside India; and the structure was a genuine investment structure, not a sham. Parliament then reversed the result by retrospective amendment, later softened in 2021.

G. Agricultural income

CIT v. Raja Bahadur Kamakshya Narain Singh, (1948) 16 ITR 325 (Privy Council)

Facts. Interest on arrears of rent payable in respect of agricultural land.

Held. Not agricultural income.

Principle. Interest is a payment for the use of money withheld. It is neither rent nor revenue derived from land.

Mustafa Ali Khan v. CIT, (1948) 16 ITR 330 (Privy Council)

Facts. Income from the sale of forest trees of spontaneous growth, where no cultivation had been carried out.

Held. Not agricultural income.

Principle. The meaning of agriculture in other statutes is irrelevant to tax law, and **some measure of cultivation involving human skill and labour upon the land is essential to constitute agriculture.**

CIT, West Bengal v. Raja Benoy Kumar Sahas Roy, (1957) 32 ITR 466 (Supreme Court)

Facts. A large forest of sal and piyasal trees of spontaneous growth, about a century and a half old, on which the assessee carried out pruning, weeding, clearing and protection, and sold timber. Denuded parts had been replanted.

Held. Income from the spontaneous growth was not agricultural income; income from the replanted portions was.

Principle. **The two tier test. Basic operations, performed on the land before the produce sprouts, are essential; subsequent operations qualify only when combined with them as one integrated activity.** An activity involving no basic operation on the land does not become agriculture merely because it is connected with the land. This is the foundational case.

Bacha F. Guzdar v. CIT, Bombay, (1955) 27 ITR 1 (Supreme Court)

Facts. The assessee held shares in tea companies and claimed that sixty per cent of her dividend was exempt, matching the agricultural proportion of the company's income.

Held. The whole dividend was taxable.

Principle. **Agricultural income must have a direct and proximate connection with the land.** A company and its shareholders are distinct persons, and a dividend flows from the shareholding, not from the land. The character of the income in the company's hands does not pass to the shareholder.

Premier Construction Co. Ltd v. CIT, Bombay City, (1948) 16 ITR 380 (Privy Council)

Facts. A managing agent was entitled to commission of ten per cent of annual net profits, subject to a minimum of ten thousand rupees. Part of the company's income was exempt agricultural income, and the agent claimed a proportionate part of its commission was likewise agricultural.

Held. It was not. The whole remuneration was taxable.

Principle. The minimum was payable whether or not the company made a profit, and the percentage was taken without regard to the sources of the profits. **Income which is not itself agricultural income does not become agricultural by reason of the source from which it is derived or the method by which it is calculated.**

CIT v. B. Gupta (Tea) Pvt Ltd, (1969) 74 ITR 337 (Calcutta High Court)

Facts. A hail storm destroyed 773 maunds of green leaf on the assessee's tea estate. Under the hail clause of its policy the insurer paid fifty per cent of the loss, Rs 15,465, which the officer taxed as incidental to the tea business.

Held. The sum was agricultural income and exempt.

Principle. The money was paid for damage to the growing crop and so relates to the agricultural operations. **Any sum which represents the profits of agricultural operations must be treated as income from agricultural operations.** Contrast Premier Construction, where the commission merely took its measure from agricultural profit.

CIT v. Maddi Venkatasubbayya, (1951) 20 ITR 151 (Madras High Court)

Facts. The assessees bought standing tobacco crops and tobacco from growers, processed and redried it, and sold it.

Held. The profit was business income, not agricultural income.

Principle. The market process limb is open only to a cultivator or receiver of rent-in-kind, and only for produce raised or received by him. A trader who buys another's produce and processes it carries on business.

Sakarlal Naranlal v. CIT, Gujarat, AIR 1965 Guj 165; (1965) 56 ITR 503

Facts. The assessee grew galka, a gourd, from imported seed and processed it into loofahs for shoe manufacture. Sales abroad failed and heavy losses followed. Unusually, he argued the losses were non agricultural so he could set them off, while the Revenue said they were agricultural.

Held. The processing was a continuation of the agricultural operations.

Principle. Where there is no market for the produce as grown, the process needed to make it saleable continues the agricultural operations, because otherwise raising the crop would be futile. The market is judged by the area where the produce is grown, and its existence is a question of fact.

K. Lakshmanan and Co. v. CIT, (1999) 239 ITR 597 (Supreme Court)

Facts. The assessee grew mulberry leaves on its land, fed them to silkworms, and sold the silk cocoons.

Held. The income from cocoons was not agricultural income.

Principle. The section does not contemplate the sale of a commodity different from what is cultivated and processed. The produce of the land was mulberry leaves; cocoons are a different commodity, and rearing silkworms is not agriculture.

CIT, Poona v. H.G. Date, (1971) 82 ITR 71 (Bombay High Court)

Facts. The assessee grew sugarcane on about ninety three acres at Phaltan and crushed it into jaggery. The Tribunal found the cane was unfit for chewing, could be used only for sugar or jaggery, and had to be crushed quickly to retain its sugar.

Held. The income was agricultural and exempt.

Principle. The requirement that produce retain its original character is displaced where there is no market for the raw produce. **Read this with K. Lakshmanan: Lakshmanan gives the rule, H.G. Date and Sakarlal Naranlal give the exception.**

B. Nagi Reddi v. CIT, (2002) 258 ITR 719 (Madras High Court)

Facts. The assessee received shooting hire charges for allowing film producers to shoot in his garden.

Held. Not agricultural income.

Principle. An activity involving no basic operation on the land does not become agriculture merely because it is connected with the land. Film shooting has no nexus with agricultural operations.

DCIT v. Inventaa Industries Pvt Ltd, (2018), ITAT Hyderabad, Special Bench

Facts. White button mushrooms grown under controlled conditions in trays of prepared compost, not in open soil.

Held. The income was agricultural income.

Principle. Basic operations involving human skill and labour were performed upon soil to produce a product of agriculture, and the statute does not require the produce to be grown on the surface of the land. **But see the next entry.**

PCIT-1 v. British Agro Products (India) Pvt Ltd), [2025] 175 taxmann.com 618 (Madras High Court, 9 May 202

Facts. Mushrooms cultivated in trays in a factory under controlled temperature. The Tribunal had allowed the exemption following Inventaa, and the Revenue appealed.

Held. Not agricultural income. The appeals were allowed in favour of the Revenue.

Principle. None of the three limbs of the definition was satisfied. The assessee derived no income from land; the mushrooms were not raised in land used for agriculture but cultured in a factory. **The Court expressly declined to follow Inventaa, holding that the Special Bench had never examined the statutory definition.** The assessee's appeal has been admitted in the Supreme Court, so the point is open.

Jayanti Botanical Gardens v. ITO, Ward 4(3)(3), ITA No. 36/Bang/2020 (ITAT Bangalore, 4 March 2021)

Facts. A nursery claimed Rs 20,11,009 as exempt agricultural income. The contract was found to cover not only the supply of plants but also softscape and landscaping work.

Held. Only the part attributable to saplings and seedlings grown in the assessee's own nursery was agricultural income.

Principle. The nursery deeming rule covers income from the sale of saplings or seedlings grown in a nursery and nothing beyond. A composite contract must be split.

H. Salary: chargeability and the employment relationship

CIT v. L.W. Russel, AIR 1965 SC 49; (1964) 53 ITR 91 (Supreme Court)

Facts. The employer contributed to a superannuation scheme by deferred annuities under which the employee or his dependants would receive benefits only on his reaching superannuation age or earlier death. Until then he had no present right to the money.

Held. The employer's contribution was not taxable as a perquisite when made.

Principle. The employee had only a contingent interest, which might never mature. **A benefit is chargeable only when a vested right in it arises.** Its application must now be read with section 17, which expressly charges certain employer contributions beyond prescribed limits.

Ram Pershad v. CIT, New Delhi, (1972) 86 ITR 122 (Supreme Court)

Facts. A managing director was paid fixed remuneration together with ten per cent of gross profits.

Held. It was salary.

Principle. A managing director may act in a dual capacity. **The test is the extent to which the company retains the power to control and supervise the manner in which he works:** if it does, the contract is one of service; if he is free to work in his own way and answerable only for results, it is a contract for service. The designation is not decisive.

Jayaram Rangan v. ACIT, Non-Corporate Circle-1(1), ITA No. 1770/Chny/2019 (ITAT Chennai, 16 March 2022)

Facts. The assessee returned consultancy receipts of Rs 1,54,34,001 as professional income. The Assessing Officer, reading the service agreement, found he was designated Managing Director and taxed the receipts as salary.

Held. The receipts were professional income, not salary.

Principle. He billed monthly with service tax, was deducted under section 194J and not section 192, and kept books audited under section 44AB. **Merely because he was designated Managing Director it could not be said that the fee arose from an employer and employee relationship.** The mirror image of Ram Pershad.

CIT v. Shiv Charan Mathur, (2008) 306 ITR 126 (Rajasthan High Court)

Facts. Whether the salary and allowances of a Member of a Legislative Assembly, who was also a Minister, are chargeable under the head Salaries.

Held. They are not. They are chargeable as income from other sources.

Principle. **A legislator holds an elective constitutional office, so there is no employer and no master and servant relationship.** The salary head and its perquisite provisions therefore cannot apply.

I. Salary: perquisites and allied issues

CIT (TDS) v. Director, Delhi Public School, (2011), Punjab and Haryana High Court

Facts. A school provided free or concessional education to the children of its employees, the value being measured by the cost of comparable education in the locality.

Held. The rule operates as a threshold.

Principle. **The limit of one thousand rupees a month per child is a threshold and not a standard deduction.** Within it there is no perquisite at all; once crossed, the whole value is chargeable and the employee cannot subtract one thousand rupees. Confusing threshold with deduction is the standard error here.

CIT-26 v. Shankar Krishnan, (2012) 349 ITR 316 (Bombay High Court)

Facts. The employer rented a flat at Cuffe Parade for its employee at ten thousand rupees a month and gave the landlord an interest free refundable deposit of thirty lakh rupees. The Revenue sought to add notional interest on the deposit to the perquisite value.

Held. The notional interest was not includible.

Principle. The perquisite must be valued exactly as the rules prescribe, and the rules make no provision for adding notional interest on a security deposit.

ITC Ltd v. CIT (TDS), (2016) 384 ITR 14 (Supreme Court)

Facts. Hotels collected tips from customers, including on credit card bills, and paid them to employees without deducting tax at source.

Held. Tips are not salary; section 192 did not apply and the employers were not in default.

Principle. **Tips are voluntary payments by customers, received by the employer in a fiduciary capacity and merely passed on.** They find no place in the contract of employment and the employee has no vested right to them. The qualification to the general rule that whatever is received by virtue of employment is salary.

Milan Arvindbhai Patel v. ACIT, Circle 4(1), [2023] 149 taxmann.com 190 (Gujarat High Court, 13 February 2023)

Facts. A pilot employed by Kingfisher Airlines, which deducted tax at source from his salary but went bankrupt without depositing it. The Department raised demands on him and adjusted later refunds.

Held. The petition was allowed. Credit had to be given and the amounts refunded with interest.

Principle. **An assessee cannot be called upon to pay the tax again to the extent it has already been deducted at source from his income.** Once deducted, the deductor alone is the assessee in default. **Note:** the ratio concerns recovery and TDS credit, not the meaning of salary.

J. Income from house property

CIT v. Zaibunnisa Begum, (1985) 151 ITR 320 (Andhra Pradesh High Court)

Facts. The assessee sold a building with a large extent of land, and the question under the capital gains relief provision was how much of the land was appurtenant to the building.

Held. Tests laid down for identifying appurtenant land.

Principle. Where the building and land are treated as an indivisible unit and enjoyed as such, the whole extent is appurtenant. Where the lands are extensive, land that can be put to independent use without detriment to the building is not appurtenant. **Mere contiguity is not sufficient.** Decided under the capital gains provision and applied here by analogy.

East India Housing and Land Development Trust Ltd v. CIT, (1961) 42 ITR 49 (Supreme Court)

Facts. A company incorporated to buy and develop land built a market and let out the shops and stalls, claiming the rent as business income because dealing in property was its business.

Held. The rent was chargeable as income from house property.

Principle. **The heads of income are specific and mutually exclusive.** Income falling squarely within the description of a head must be computed under that head, whatever the assessee's business and however it is treated in the accounts. The character of the income decides the head, not the character of the assessee.

CIT v. Podar Cement Pvt Ltd, (1997) 226 ITR 625 (Supreme Court)

Facts. The assessees had paid the full price of flats, taken possession and were receiving rent, but no conveyance had been registered in their favour.

Held. They were the owners for the purposes of the charge.

Principle. **Owner means the person entitled to receive income from the property in his own right, and registration of a conveyance is not necessary.** The provision looks to who in reality enjoys the income of the property.

R.B. Jodha Mal Kuthiala v. CIT, (1971) 82 ITR 570 (Supreme Court)

Facts. The assessee's property in Lahore vested in the Custodian of Evacuee Property in Pakistan after Partition. He could neither occupy it nor receive its income, though he remained the title holder.

Held. He was not the owner for the purpose of the charge.

Principle. **The owner is the person who can exercise the rights of the owner, not on behalf of the owner but in his own right.** Read with Podar Cement: a person without registered title may be the owner, and a person with registered title may not be.

Maneklal Agarwal v. DCIT, Supreme Court, 14 July 2017

Facts. The assessee leased property to his own wife, son and daughter in law at nominal rents, and they sub-leased it to outsiders at much higher rents. The leases were found bogus and the structures raised by the assessee himself.

Held. The income was rightly taxed in the assessee's hands.

Principle. A device had been adopted to show a lesser income. **Applying the rule that the assessing authority has the right to tax the right person**, once the income was found to belong to the assessee he was the right person.

CIT v. Biman Behari Shaw, Shebait, (1968) 68 ITR 815 (Calcutta High Court)

Facts. A will dedicated two Calcutta temples to deities and barred everyone except the worshipping Brahmin and servants from residing there, and barred use for meetings. The appellate authorities held the premises had no letting value.

Held. Answered in favour of the Revenue. The Tribunal was wrong.

Principle. Even where a property is not let and produces no income, the officer proceeds on the notional income the property might reasonably be expected to yield; the word is might, not can or is. **A restriction on letting may reduce the letting value but cannot remove the notional annual income.** Liability arises from ownership.

The Eighteen Leading Cases, in One Place

If time is short, these are the cases the doctrine rests on. Each is highlighted in the digest above.

Tax and fee. *Delhi Race Club*. **Avoidance.** *McDowell*, with the caution about Chinnappa Reddy J.

Concept of income. *G.R. Karthikeyan* for the inclusive definition; *Shoorji Vallabhdas* for real income.

Diversion. *Sitaldas Tirathdas*, the true test, verbatim. **Mutuality.** *Bangalore Club*.

Residence. *Subbayya Chettiar* for the onus and the head and brain; *Narottam and Parekh* for central control.

Deemed accrual. *Vodafone*, with the legislative sequel.

Agricultural income. *Benoy Kumar Sahas Roy* for the two tier test; *Bacha F. Guzdar* for the direct connection with land; *K. Lakshmanan* for the rule and *H.G. Date* for its exception; *British Agro Products* for the current mushroom conflict.

Salary. *Ram Pershad* for contract of service against contract for service; *ITC Ltd* for tips.

House property. *Podar Cement* and *Jodha Mal* for ownership; *East India Housing* for the heads being mutually exclusive.

One case still outstanding. *CIT v. Delhi Cloth and General Mills Co. Ltd*, cited in the session plan as MANU/PH/0103/1955 under income from house property, could not be located in any accessible source and is therefore not written up. See the note at the end of the main notes for the lead worth following.